Chapter 5 DOCUMENTATION

RPEVXB

Learning Objectives

After going through this unit, the students will be able to,

- State the meaning and importance of documentation
- Explain the meaning and advantages of audit note book
- Describe the advantages of audit note book
- State the meaning and importance of Audit working papers

TO BE RECALLED RECAP

- Audit procedures
- Audit program
- Works entrusted to audit staff
- Period allotted for completion of audit work

5.1 Introduction

5.1.1 Documentation – Meaning

In the process of audit, the auditor should document matters which are important in providing sufficient evidence that the audit was carried out in accordance with the basic principles governing an audit. The records maintained and preserved in the audit process are called as Documentation. Documentation in this connection refers to audit note book and audit working papers. Working papers are prepared or obtained by the auditor. It may be in the form of extracts, photocopy of documents, representation and explanation from the management.

Audit Documentation includes:

1. Audit Programme
2. Analysis
3. Issues memorandum
4. Summaries of significant matters
5. Letters of confirmation and representation
6. Checklists
7. Correspondendces concerning significant matters.

5.1.2 Importance of Documentation

Documentation is important in the course of audit work due to the following:

1. **Fixation of Responsibility and Accountability:** Documentation helps

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